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2 **So Ordered.**



Frederick P. Corbit

Frederick P. Corbit
Bankruptcy Judge

3
4 **Dated: August 1st, 2014**

5 UNITED STATES BANKRUPTCY COURT
6 EASTERN DISTRICT OF WASHINGTON

7 In re:

8 DEBRA KAY HICKS and JAMES
9 LLOYD HICKS,

Debtors.

Case No. 14-01533-FPC13

ORDER DENYING TRUSTEE'S
MOTION TO DISMISS

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11 THIS MATTER came before the court on the Trustee's Motion to Dismiss for
12 Failure to Timely File Documents (ECF No. 31). The court reviewed the files and
13 records herein, heard argument of counsel, is fully advised in the premises, and
14 enters findings of fact and conclusions of law, and an order.

15 **FINDINGS OF FACT AND CONCLUSIONS OF LAW**

- 16 1. The debtors filed a chapter 13 bankruptcy petition on April 23, 2014
17 (ECF No. 1 at pp. 1-3).
18 2. Together with the debtors' bankruptcy petition, the debtors filed
19 schedules, a Statement of Financial Affairs, and a Chapter 13 Statement of Current
20 Monthly Income (ECF No. 1 at pp. 34, 42 and 60). Each of these documents were

1 verified by the debtors as true and correct in accordance with Fed. R. Bankr. P.
2 1008.

3 3. In the debtors' schedules, they verified that both of them were
4 unemployed and that Debra Kay Hicks is disabled (ECF No. 1 at p. 30).

5 4. In the debtors' Statement of Financial Affairs, they verified that during
6 the two years prior to filing their bankruptcy petition that the only income they
7 received "from employment, trade, or profession, or from operation of the debtor's
8 business" was \$7,352.94 that James Lloyd Hicks received from AMR Ambulance
9 Service in 2012 (ECF No. 1 at p. 35).

10 5. In their Chapter 13 Statement of Current Monthly Income, the debtors
11 verified that they received no income from "wages, salary, tips, bonuses, overtime,
12 [or] commissions" during the six (6) month period preceding the petition date (ECF
13 No. 1 at p. 54).

14 6. The debtors have no payment advices to file because the only income
15 they received from employment, trade, a profession, or the operation of a business
16 was more than sixty (60) days prior to the filing of their bankruptcy petition.

17 7. On June 5, 2014, the Chapter 13 Trustee (the "trustee") filed a motion
18 in which he requested that the court dismiss the debtors' bankruptcy case as a result
19 of the debtors' failure to timely file "Payment Advices and/or Declaration re: Lack
20 of Payment Advices" (ECF No. 31). The trustee asserted in his motion that the relief

1 requested was “pursuant to FRBP 1007(c) and/or FRBP 3015 and 11 U.S.C.
2 §521(a).”

3 8. On June 11, 2014, the debtors’ counsel filed an objection to the
4 trustee’s motion to dismiss (ECF No. 36). In the objection the debtors’ counsel
5 stated:

6 The debtors received no payment advices of the kind described in and
7 required to be filed under 11 U.S.C. § 521(a). Contrary to the trustee’s
8 assertion, there is no requirement that debtors file a declaration regarding
the lack of such payment advices under the statute, Federal Bankruptcy
Rules, or Local Bankruptcy Rules.

9 9. The debtors’ schedules, Statement of Financial Affairs, and Chapter 13
10 Statement of Current Monthly Income each provide statements that are verified
11 pursuant to Fed. R. Bankr. P. 1008 and provide evidence that there are no payment
12 advices that need to be filed in this case.

13 10. On June 18, 2014, the trustee filed a response to the debtors’ objection
14 (ECF No. 41). In the response, the trustee cited 11 U.S.C. § 521(a)(1)(B)(iv) for the
15 proposition that the debtors are required to file copies of payment advices; however,
16 the trustee cited no code section, rule, or other authority for the proposition that a
17 debtor is required to file a declaration where there are no payment advices available
18 for filing.

19 11. On June 24, 2014, the trustee filed a report that there were no objections
20 to confirmation of the debtors’ chapter 13 plan, and in that report the trustee

1 recommended that the debtors' plan be confirmed because it satisfies the
2 requirements of the Bankruptcy Code (ECF No. 45).

3 12. On June 25, 2014, the debtors' plan was confirmed (ECF No. 51).

4 13. On July 28, 2014, the trustee filed a supplemental reply in support of
5 his motion to dismiss the debtors' case (ECF No. 55). In the supplemental reply, the
6 trustee asserted for the first time that the debtors are required by Fed. R. Bankr. P.
7 4002(b)(2) to provide a written statement that payment advices do not exist or are
8 not in the debtors' possession.

9 14. In the supplemental reply, the trustee quotes the Advisory Committee
10 Notes to the 2008 amendments to Fed. R. Bankr. P. 4002(b)(2) to support the
11 assertion that debtors are required to cooperate and provide the requested
12 documents; however, the quoted paragraph also provides:

13 Subdivision (b)(2) does not require that the debtor create documents or
14 obtain documents from third parties; rather, the debtor's obligation is to
15 bring to the meeting of creditors under §341 the documents which the
debtor possesses.

16 15. The continuation of the trustee's effort to dismiss the debtors' case is
17 inconsistent with the trustee's recommendation that the debtors' plan be confirmed.

18 16. The debtors have satisfied all of their reporting obligations with respect
19 to payment advices.
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///END OF ORDER///

§ 2623.1

143), as amended by the Act of August 24, 1912 (37 Stat. 497; 43 U.S.C. 142), and all forms of Executive withdrawal recognized and construed by the Department of the Interior as reservations, existent prior to January 25, 1927.

§ 2623.1 Effective date of grant.

Grants to the States of school lands in place (the numbered sections), of the character and status subject thereto, as a rule, are effective and operate to vest title upon the date of the approval of the statute making the grant or the date of the admission of the State into the Union, as to lands then surveyed, and as to the lands thereafter surveyed upon the date of the acceptance of the survey thereof by the Director of the Bureau of Land Management. (United States v. Morrison, 240 U.S. 192, 60 L. ed. 599; United States v. Sweet, 245 U.S. 563, 62 L. ed. 473; Wyoming et al. v. United States, supra.) It is held, therefore, that the grant made by the first paragraph of section 1 of the Act of January 25, 1927, subject to the provision therein with respect to indemnity or lieu lands, to the provisions of subsections (b) and (c) of said section 1 and following the plain provisions of subsection (a) thereof is effective upon the date of the approval of the Act (January 25, 1927) as to lands then surveyed and the survey thereof accepted by the Director of the Bureau of Land Management and as to the unsurveyed school sections in the State of Florida granted to that State by the Act of September 22, 1922. The grant, as to other lands thereafter surveyed, subject to the same provisions is effective upon the acceptance of the survey thereof as above indicated.

§ 2623.2 Claims protected.

(a) Valid applications, claims, or rights protected by the provisions of subsection (c) of section 1 of the Act of January 25, 1927, include applications, entries, selections, locations, permits, leases, and other forms of filing, initiated or held pursuant to existing laws of the United States prior to January 25, 1927, embracing known mineral school-section lands then surveyed and otherwise within the terms of the additional grant, and as to lands thereafter surveyed, valid applications, claims, or

43 CFR Ch. II (10–1–06 Edition)

rights so initiated or held prior to the date of the acceptance of the survey. The additional grant to the State will attach upon the effective date of the relinquishment or cancellation of any claim, so asserted, in the absence of any other valid existing claim for the land and if same be then surveyed. Should the validity of any such claim be questioned by the State, proceedings with respect thereto by protest, contest, hearing, etc., will be had in the form and manner prescribed by existing rules governing such cases. This procedure will be followed in the matter of all protests, contests, or claims filed by individuals, associations, or corporations against the States affecting school-section lands.

§ 2623.3 States not permitted to dispose of lands except with reservation of minerals.

(a) Subsection (b) of section 1 of the Act of January 25, 1927, provides:

That the additional grant made by this Act is upon the express condition that all sales, grants, deeds, or patents for any of the lands so granted shall be subject to and contain a reservation to the State of all the coal and other minerals in the lands so sold, granted, deeded, or patented, together with the right to prospect for, mine, and remove the same. The coal and other mineral deposits in such lands shall be subject to lease by the State as the State legislature may direct, the proceeds of rentals and royalties therefrom to be utilized for the support or in aid of the common or public schools: *Provided*, That any lands or minerals disposed of contrary to the provisions of this Act shall be forfeited to the United States by appropriate proceedings instituted by the Attorney General for that purpose in the United States district court for the district in which the property or some part thereof is located.

(b) The lands granted to the States by the Act of January 25, 1927, and the mineral deposits therein are to be disposed of by the States in the manner prescribed in subsection (b) thereof, provision being made for judicial forfeiture in case of disposal of any of the lands or minerals contrary to the provisions of the act.

§ 2623.4 Grant of mineral school sections effective upon restoration of land from reservation.

(a) By the Act of January 25, 1927 (44 Stat. 1026; 43 U.S.C. 870, 871), which

The University of the State of New York
The State Education Department



**ACCOUNTABILITY STATUS REPORT:
ENGLISH LANGUAGE ARTS, MATHEMATICS, SCIENCE,
AND GRADUATION RATE
for
OAK STREET SCHOOL
in
PLATTSBURGH CITY SD**

**2004-05 Accountability Status:
School In Good Standing**

Title I Funding

This school received Title I funding in:

2002-03: Yes

2003-04: Yes

2004-05: Yes

School Accountability Status Categories

The list below defines the school status categories under New York State's school accountability system, which is divided into a Federal Title I component and a State component. A school that does not receive Title I funding in a school year does not have a federal status in that year. Schools receiving Title I funds that are not in good standing must provide school choice for their students; those in need of improvement year 2 and beyond must also provide Supplemental Education Services to eligible students. Other consequences for schools not in good standing can be found at: www.emsc.nysed.gov/deputy/nclb/accountability/siinfo.htm. To be removed from any improvement status, a school must make Adequate Yearly Progress (AYP) in the grade and subject for which it was identified for two consecutive years, or in the case of a School Under Registration Review, achieve the performance targets established for the school by the Commissioner.

School in Good Standing: A school is considered to be in good standing if it has not been identified as a School in Need of Improvement, Requiring Corrective Action, Planning for Restructuring, or Requiring Academic Progress, or as a School Under Registration Review.

School Requiring Academic Progress: Under the State component of New York's accountability system, a school that does not make AYP in the same grade and subject for two consecutive years is considered a School Requiring Academic Progress (Year 1) for the following year. In each succeeding year that the school fails to make AYP, the year designation is incremented by one.

School in Need of Improvement (Year 1): A school that has not made AYP for two consecutive years in the same grade and subject while receiving Title I funds is considered a School in Need of Improvement (Year 1) for the following year.

School in Need of Improvement (Year 2): A School in Need of Improvement (Year 1) that does not make AYP in the grade and subject for which it was identified while receiving Title I funds is considered a School in Need of Improvement (Year 2) for the following year.

School Requiring Corrective Action: A School in Need of Improvement (Year 2) that does not make AYP in the grade

and subject for which it was identified while receiving Title I funds is considered a School Requiring Corrective Action for the following year.

School Planning for Restructuring: A School Requiring Corrective Action that does not make AYP in the grade and subject for which it was identified while receiving Title I funds is considered a School Planning for Restructuring for the following year.

School Restructuring: A School Planning for Restructuring that does not make AYP in the grade and subject for which it was identified while receiving Title I funds is considered a School Restructuring for the following year.

School Under Registration Review (SURR): Schools that are farthest from the State standard and that have been determined by the Commissioner to be most in need of improvement are Schools Under Registration Review. These schools must achieve performance targets specified by the Commissioner of Education in their area(s) of identification within a prescribed timeframe or risk having their registration revoked by the Board of Regents.

Elementary-Level English Language Arts

Definitions of terms, such as Performance Index and Effective Annual Measurable Objective (AMO), are in the glossary, which is the last page of this report.

For a school or a district to make Adequate Yearly Progress (AYP) in 2003–04, every accountability group must make.

For an accountability group to make AYP in 2003–04, it must

1. meet the 95 percent participation requirement (**2003–04 Participation**), and
2. either meet its Effective AMO or make safe harbor (**2003–04 Performance** and **Standards**).

To meet the participation requirement, 95 percent of the grade 4 enrollment in each accountability group with 40 or more students must

be tested. To meet the Effective AMO, the Performance Index for each group with 30 or more continuously enrolled students must equal or exceed the Effective AMO. To make safe harbor, the Performance Index of each of these groups must equal or exceed its ELA safe harbor target *and* the group must meet the elementary-level science qualification for safe harbor. (See the elementary-level science page of this report for further information on meeting the science qualification for safe harbor.)

ELA Safe Harbor Targets: The elementary-level 2003–04 ELA Safe Harbor Target is calculated by using the following equation: $2002-03\ PI + (200 - \text{the } 2002-03\ PI) \times 0.10$. The 2004–05 ELA Safe Harbor Target is calculated by using the following equation: $2003-04\ PI + (200 - \text{the } 2003-04\ PI) \times 0.10$. The 2004–05 target is provided for groups whose PI was below the Effective AMO in 2003–04.

Accountability Group	2003–04 Participation*		2003–04 Performance**		2003–04 Standards			Made AYP in ELA in 2003–04	2004–05 ELA Safe Harbor Target
	Grade 4 Enrollment	Percent of Enrollment Tested	Count of Continuously Enrolled Students	Performance Index	Effective AMO	ELA Safe Harbor Target	Met the Science Qualification for Safe Harbor		
All Students	60	100%	58	164	110			YES	
Students with Disabilities	7		7						
American Indian/Alaskan Native									
Black	3		3						
Hispanic	1		1						
Asian or Pacific Islander	1		1						
White	55	100%	53	166	110			YES	
Limited English Proficient									
Economically Disadvantaged	18		16						
Final AYP Determination								YES	

*Students who were excused from testing for medical reasons are not included in the enrollment count. If the participation rate of an accountability group fell below 95 percent in 2003–04, the enrollment shown is the sum of 2002–03 and 2003–04 enrollments and the percent tested is the weighted average of the participation rates over those two years.

**For schools with fewer than 30 continuously enrolled tested students in 2003–04, data for 2002–03 and 2003–04 were combined to determine counts and PIs.

Groups with a “” are not required to meet the science qualification for safe harbor to make safe harbor in English and mathematics because fewer than 30 students in the group were administered the science test.

State accountability status in elementary-level English language arts: School In Good Standing

Title I accountability status in elementary-level English language arts: School In Good Standing

Elementary-Level Mathematics

Definitions of terms, such as Performance Index and Effective Annual Measurable Objective (AMO), are in the glossary, which is the last page of this report.

For a school or a district to make Adequate Yearly Progress (AYP) in 2003–04, every accountability group must make AYP.

For an accountability group to make AYP in 2003–04, it must

1. meet the 95 percent participation requirement (**2003–04 Participation**), and
2. either meet its Effective AMO or make safe harbor (**2003–04 Performance** and **Standards**).

To meet the participation requirement, 95 percent of the grade 4 enrollment in each accountability group with 40 or more students must

be tested. To meet the Effective AMO, the Performance Index for each group with 30 or more continuously enrolled students must equal or exceed the Effective AMO. To make safe harbor, the Performance Index of each of these groups must equal or exceed its math safe harbor target *and* the group must meet the elementary-level science qualification for safe harbor. (See the elementary-level science page of this report for further information on meeting the science qualification for safe harbor.)

Math Safe Harbor Targets: The elementary-level 2003–04 Math Safe Harbor Target is calculated by using the following equation: $2002-03 \text{ PI} + (200 - \text{the } 2002-03 \text{ PI}) \times 0.10$. The 2004–05 Math Safe Harbor Target is calculated by using the following equation: $2003-04 \text{ PI} + (200 - \text{the } 2003-04 \text{ PI}) \times 0.10$. The 2004–05 target is provided for groups whose PI was below the Effective AMO in 2003–04.

Accountability Group	2003–04 Participation*		2003–04 Performance**		2003–04 Standards			Made AYP in Math in 2003–04	2004–05
	Grade 4 Enrollment	Percent of Enrollment Tested	Count of Continuously Enrolled Students	Performance Index	Effective AMO	Math Safe Harbor Target	Met the Science Qualification for Safe Harbor		Math Safe Harbor Target
All Students	58	98%	56	186	123			YES	
Students with Disabilities	7		6						
American Indian/Alaskan Native									
Black	3		3						
Hispanic	1		1						
Asian or Pacific Islander	1		1						
White	53	98%	51	186	123			YES	
Limited English Proficient									
Economically Disadvantaged	16		15						
Final AYP Determination								YES	

*Students who were excused from testing for medical reasons are not included in the enrollment count. If the participation rate of an accountability group fell below 95 percent in 2003–04, the enrollment shown is the sum of 2002–03 and 2003–04 enrollments and the percent tested is the weighted average of the participation rates over those two years.

**For schools with fewer than 30 continuously enrolled tested students in 2003–04, data for 2002–03 and 2003–04 were combined to determine counts and PIs.

Groups with a "*" are not required to meet the science qualification for safe harbor to make safe harbor in English and mathematics because fewer than 30 students in the group were administered the science test.

State accountability status in elementary-level mathematics: School In Good Standing

Title I accountability status in elementary-level mathematics: School In Good Standing

Elementary-Level Science

Definitions of terms, such as Progress Target and Adequate Yearly Progress (AYP), are in the glossary, which is the last page of this report.

Made AYP in Science in 2003–04: For a school or a district to make AYP in science, the Performance Index (PI) for the “All Students” group must equal or exceed the State Science Standard or the Science Progress Target.

State Designated Level (SDL): The score that students taking the elementary-level science test in 2002–03 must have equaled or exceeded on the written portion of the test to have met the State Science Standard.

Qualification for Safe Harbor in Elementary-Level ELA and Math: For an accountability group to be considered Qualified for Safe Harbor in Elementary-Level ELA and Math, the PI must equal or exceed the State Science Standard or the Science Progress Target in elementary-level science for that group. Groups with fewer than 30 students tested in elementary-level science are not subject to this qualification criterion.

Science Progress Targets: The elementary-level 2003–04 Science Progress Target is calculated by multiplying the 2002–03 Percent At or Above SDL by two and then adding one point. The 2004–05 Science Progress Target is calculated by adding one point to the 2003–04 PI. The 2004–05 target is provided for groups whose PI was below the State Science Standard in 2003–04.

Accountability Group	2003–04 Performance*		2003–04 Standards		Made AYP in Science in 2003–04	2003–04	2004–05
	Count of Continuously Enrolled Students	Performance Index	State Science Standard	Science Progress Target		Qualified for Safe Harbor in Elementary- Level ELA and Math	Science Progress Target
All Students	57	188	100		YES	YES	
Students with Disabilities	7						
American Indian/Alaskan Native							
Black	3						
Hispanic	1						
Asian or Pacific Islander	1						
White	52	190	100			YES	
Limited English Proficient							
Economically Disadvantaged	15						
Final AYP Determination					YES		

*For schools with fewer than 30 continuously enrolled students in 2003–04, data for 2002–03 and 2003–04 were combined to determine counts and Performance Indices.

State accountability status in elementary-level science: School In Good Standing

Title I accountability status in elementary-level science: School In Good Standing

Glossary

Accountability Cohort: The 2000 school accountability cohort consists of all students who first entered grade 9 in the fall of 2000, and all ungraded students with disabilities who reached their seventeenth birthday in the 2000–01 school year, who were enrolled on October 2, 2002. Students who transferred to programs leading to a high school diploma or high school equivalency diploma were not included in the 2000 school accountability cohort. The 2000 district accountability cohort consists of all students in each school accountability cohort plus students who transferred within the district after BEDS day *plus* students who were placed outside the district by the CSE or district administrators and who met the other requirements for cohort membership. Cohort is defined in Section 100.2 (p) (8) of the Commissioner's Regulations.

Adequate Yearly Progress (AYP): Adequate Yearly Progress (AYP) indicates satisfactory progress by a district or a school toward the goal of proficiency for all students.

Annual Measurable Objective (AMO): The Annual Measurable Objective (AMO) is the PI value that signifies that an accountability group is making satisfactory progress toward the goal that 100 percent of students will be proficient in the State's learning standards for English language arts and mathematics by 2013–14. The AMO will be increased in regular increments beginning in 2004–05 until it reaches 200 in 2013–14. (See Effective AMO for further information.)

Continuously Enrolled Students: Students enrolled in the school or district on BEDS day (usually the first Wednesday in October) of the school year and until the day of testing.

Effective Annual Measurable Objective (Effective AMO): The Effective Annual Measurable Objective (Effective AMO) is the PI value that each accountability group within a school or district is expected to achieve to make AYP. The Effective AMO is the lowest PI that an accountability group of a given size can achieve in a subject for the group's PI not to be considered significantly different from the AMO for that subject. If an accountability group's PI equals or exceeds the Effective AMO, it is considered to have made AYP. A more complete definition of Effective AMO and a table showing the PI values that each group size must equal or exceed to make AYP are available at www.emsc.nysed.gov/irts.

Graduation-Rate Cohort: Graduation-rate cohort for each year includes all students in the accountability cohort in the previous year plus all students excluded from that accountability cohort solely because they transferred to a general education development (GED) program. Certain students with severe disabilities and new immigrants were excluded from the 1999 graduation-rate cohort.

Graduation-Rate Standard: The criterion value that represents a minimally satisfactory percentage of cohort members earning a local diploma. The State Graduation-Rate Standard is 55 percent. The Commissioner may raise the Graduation-Rate Standard at his discretion in future years.

Performance Index (PI): A Performance Index is a value from 0 to 200 that is assigned to an accountability group, indicating how that group performed on a required State test (or approved alternative) in English language arts, mathematics, or science. Student scores on the tests are converted to four achievement levels, from Level 1 (indicating no proficiency) to Level 4 (indicating advanced proficiency). ***At the elementary and middle levels, the PI is calculated using the following equation: $100 \times [(Count\ of\ Continuously\ Enrolled\ Tested\ Students\ Performing\ at\ Levels\ 2,\ 3,\ and\ 4) + the\ Count\ at\ Levels\ 3\ and\ 4) \div Count\ of\ All\ Continuously\ Enrolled\ Tested\ Students]$. At the secondary level, the PI is calculated using the following equation: $100 \times [(Count\ of\ Cohort\ Members\ Performing\ at\ Levels\ 2,\ 3,\ and\ 4) + the\ Count\ at\ Levels\ 3\ and\ 4) \div Count\ of\ All\ Cohort\ Members]$.*** A list of tests used to measure student performance for accountability is available at www.emsc.nysed.gov/irts.

Progress Target: For accountability groups below the State Standard in science or graduation rate, the Progress Target is an alternative method for making AYP or qualifying for safe harbor in English language arts and mathematics based on improvement over the previous year's performance.

Safe Harbor: Safe Harbor provides an alternative means to demonstrate AYP for accountability groups that do not achieve their Effective AMOs in English or mathematics.

Science Standard: The criterion value that represents a minimally satisfactory performance in science. In 2003–04, the State Science Standard at the elementary and middle levels was a PI of 100. The Commissioner may raise the State Science Standard at his discretion in future years.